

Why didn't you put on your entire intended position at one time?

We were developing our conviction on the trade, and our conviction level spiked up when the ABX tanked and CDO prices didn't move.

How come the CDO prices didn't decline if an index based on bonds similar to those in the CDOs was falling sharply?

The dealers had bought massive amounts of MBS to hold in inventory in anticipation of turning them into CDOs. So they were stuck with a huge amount of inventory of the crappiest MBS at the time when the ABX index based on those securities was falling sharply. They went into overdrive to turn as much of the inventory as possible into CDOs. If the proper mark-to-market prices were allowed on the existing CDOs, it would have killed the CDO market, and the dealers would have been stuck with huge inventories of MBS before they could turn them into CDOs.

So the dealers were deliberately mispricing the CDOs?

Oh, yes. You have to remember that the buyers of the CDOs were not the most sophisticated investors. People are hesitant to use the "F" word [fraud], but extreme naïveté would be the only other explanation, if you could believe that's plausible. We saw a research report by Lehman on a CDO issued at a yield of 70 basis points. We called the secondary desk at Lehman and asked if we could buy protection on that CDO at 70 basis points. They laughed at us. We asked whether we could buy protection at 300 basis points. They said they couldn't offer that to us, either. So we asked, "How could you issue a CDO at 70 basis points that you are unwilling to assume the risk on at 300?" They said they would have to get back to us. Of course, they never did. In the meantime, our counterparty, Bear Stearns, is marking our CDO positions at cost. The ABX fell 30 percent, and our CDOs were still being marked at cost.

Were you arguing with them about the marks?

Not so much. We were more concerned about the integrity of the financial system. We bought a ton of puts and CDS on Bear Stearns because we thought they would go bankrupt.